XYZ, Inc.: Journal entries for listed transactions

(1)	Cash (+A)	100	
	Common stock (+SE)		100
(2)	Prepaid Rent (+A)	50	
	Cash (-A)		50
(3)	Cash (+A)	200	
	Bank Loan (+L)		200
(4)	Inventory (+A)	30	
	Accounts Payable (+L)		30
(5)	Advertising Expense (+E)	5	
	Cash (-A)		5
(6)	Cash (+A)	5	
	COGS (+E)	3	
	Revenue (+R)		5
	Inventory (-A)		3
(7)	Account Receivable (+A)	10	
	COGS (+E)	6	
	Revenue (+R)		10
	Inventory (-A)		6
(8)	Interest Expense (+E)	1	
	Cash (-A)		1
(9)	Accounts Payable (-L)	30	
	Common Stock (+SE)		30

XYZ, Inc: Adjusting/closing entries

Adjusting entries:

(2a)	Rent expense (+E)	10	
	Prepaid rent (-A)		10
(3a)	Interest Expense (+E)	1	
	Interest Payable (+L)		1

Closing entries:

(c)	Retained Earnings (-SE)	11	
	Revenue (-R)	15	
	Cost of Goods Sold (-E)		9
	Advertising Expense (-E)		5
	Interest Expense (-E)		2
	Rent Expense (-E)		10

XYZ, Inc.: Balance sheet T-accounts

Cash (A)	
(1) 100	
	(2) 50
(3) 200	
	(5) 5
(6) 5	
	(8) 1
249	

Accounts Receivable (A)	
(7) 10	
10	

Accounts Payable (L)	
	(4) 30
(9) 30	
	0

Interest Payable (L)	
	(3a) 1
	1

Inventory (A)	
(4) 30	
	(6) 3 (7) 6
21	

Prepaid rent (A)	
(2) 50	
	(2a) 10
40	

Bank Loan (L)	
	(3) 200
	200

Common stock (SE)	
	(1) 100 (9) 30
	130

XYZ, Inc.: Income statement T-accounts

Revenue (R,SE)

	(6) 5 (7) 10
(c) 15	
	0

Cost of Goods Sold (E,SE)

(6) 3 (7) 6	
	(c) 9
0	

Retained Earnings (SE)

(c) 9 (c) 5 (c) 2 (c) 10	(c) 15
11	

Advertising Expense (E,SE)

(5) 5	
	(c) 5
0	

Interest Expense (E,SE)

(8) 1 (3a) 1	
	(c) 2
0	

Rent Expense (E,SE)

(2a) 10	
	(c) 10
0	

XYZ, Inc.: January 31 balance sheet

Balance Sheet as of January 31 [in $1,000]			
Assets		**Liabilities**	
Cash	249	Interest payable	1
Accounts receivable	10	Bank loan	200
Inventory	21	Total Liabilities	201
Prepaid rent	40		
		Shareholders' Equity	
		Common stock	130
		Retained earnings	(11)
		Total Shareholders' Equity	119
Total Assets	320	Total Liabilities & Equity	320

XYZ, Inc.: January income statement

Revenue (R,SE)

	(6) 5 (7) 10
(c) 15	
	0

Cost of Goods Sold (E,SE)

(6) 3 (7) 6	
	(c) 9
0	

Advertising Expense (E,SE)

(5) 5	
	(c) 5
0	

Interest Expense (E,SE)

(8) 1 (3a) 1	
	(c) 2
0	

Rent Expense (E,SE)

(2a) 10	
	(c) 10
0	

Income Statement for the month of January [in $1,000]	
Revenue	15
Cost of Goods Sold	(9)
Gross profit	6
Advertising expense	(5)
Interest expense	(2)
Rent expense	(10)
Net income (loss)	(11)

XYZ, Inc.: January Statement of Cash Flows (not required)

Statement of Cash Flows [in $1,000]	
Cash from Operations	
Cash from customers	5
Rent expenditures	(50)
Interest expense	(1)
Advertising expenditures	(5)
Net cash from operating activities	(51)
Cash from Investing	
Net cash from investing activities	0
Cash from Financing	
Issuance of common stock	100
Bank loan	200
Net cash from financing activities	300
Net cash flows	249

Cash (A)

(1) 100	
	(2) 50
(3) 200	
	(5) 5
(6) 5	
	(8) 1
249	